

If the differences are major or else perception of quality is high, the purchase decisions are not solely based on prices.

Here, the firms cannot undercut each other to gain market share.



Superior Quality will still attract business

v/s



Major differences in quality but not understood by the buyers

Then the competitors will gain the power to undercut each other.

Cost of Switching

(Brand/Cost/Technology/Hassle/Habit/Knowledge/Dependency/ None)



Electric 2-wheeler v/s Petrol 2-wheeler

Switching costs at times reduce the buyer's ability to switch; at other times they demotivate the buyer from switching to another product. Only if the benefit is substantial will the customer be willing to switch. This cannot be achieved by merely undercutting the competition. Thus, the higher the switching costs, the lower would be the competitive intensity within the industry.